

Contoso Infrastructure

Estimation Policy & Procedures

Document: CI-EP-2026-01 | Version: 3.2 | Effective: 1 July 2025 | Classification: Internal

1. Purpose

This document establishes the estimation policies and procedures for all Contoso Infrastructure projects. It applies to all estimators, project managers, and bid teams involved in preparing cost estimates and tender submissions.

The objective is to ensure consistency, accuracy, and compliance across all estimation activities while maintaining competitive positioning in the market.

2. Estimation Categories

Contoso Infrastructure uses four categories of estimates, each with defined accuracy ranges and approval requirements:

Category A - Order of Magnitude: Accuracy range +/- 30-50%. Used for initial feasibility and budget planning. Based on historical data and parametric methods. Approval: Senior Estimator.

Category B - Preliminary Estimate: Accuracy range +/- 15-30%. Used for project screening and early-stage budgeting. Based on rate library and schematic design. Approval: Chief Estimator.

Category C - Detailed Estimate: Accuracy range +/- 5-15%. Used for tender submissions and contract negotiations. Based on full BOQ, supplier quotes, and site assessment. Approval: Estimation Manager + Commercial Director.

Category D - Definitive Estimate: Accuracy range +/- 3-5%. Used for final project budgets and change orders. Based on confirmed subcontractor quotes and procurement commitments. Approval: Commercial Director + Project Director.

3. Margin Guidelines

Standard margins must be applied to all estimates based on project value and risk profile. These margins cover corporate overheads, profit, and risk contingency.

3.1 Standard Margin Table:

Project Value < \$5M: Overhead 8%, Profit 5%, Risk Contingency 3%, Total Margin 16%

Project Value \$5M - \$20M: Overhead 7%, Profit 5%, Risk Contingency 4%, Total Margin 16%

Project Value \$20M - \$50M: Overhead 6%, Profit 4%, Risk Contingency 5%, Total Margin 15%

Project Value \$50M - \$100M: Overhead 5%, Profit 4%, Risk Contingency 5%, Total Margin 14%

Project Value > \$100M: Overhead 4%, Profit 3%, Risk Contingency 6%, Total Margin 13%

3.2 Margin Adjustments:

- Strategic projects (new client/sector entry): Margin may be reduced by up to 3% with Commercial Director approval
- High-risk projects (complex scope, tight timeline): Add 2-5% additional risk contingency with Estimation Manager approval
- Repeat client projects: Margin may be adjusted based on relationship history and pipeline value

3.3 Margin Disclosure:

Margins are strictly confidential. Estimators must never disclose margin percentages, overhead rates, or profit targets to external parties, including clients, subcontractors, and suppliers.

4. Approval Matrix

All estimates require approval before submission. The approval authority depends on estimate value and category:

Estimate Value < \$1M: Approver is Senior Estimator. Turnaround: 2 business days.

Estimate Value \$1M - \$5M: Approver is Chief Estimator. Turnaround: 3 business days.

Estimate Value \$5M - \$20M: Approver is Estimation Manager. Turnaround: 5 business days.

Estimate Value \$20M - \$50M: Approver is Commercial Director. Turnaround: 7 business days.

Estimate Value > \$50M: Approver is Commercial Director + Managing Director. Turnaround: 10 business days.

Note: Category C and D estimates always require Estimation Manager sign-off regardless of value.

5. Rate Library Usage

5.1 The Contoso Rate Library (CI-RL-2026-01) is the primary source for labor, plant, and materials rates in preliminary estimates.

5.2 Estimators must use rates from the current rate library for all Category A and B estimates. For Category C and D estimates, rate library values serve as a starting point but must be validated with current market quotes.

5.3 Rate adjustments are permitted under the following conditions:

- Regional loading: Apply remote area loading per rate library notes (15% regional, 25% remote)
- Escalation: For projects with construction periods exceeding 12 months, apply the current CPI forecast rate (currently 3.2% per annum) to rates beyond the first year
- Market conditions: If market rates deviate more than 10% from library rates, the estimator must document the variance and obtain Chief Estimator approval for adjusted rates

5.4 Rates are updated quarterly by the Estimation Department. Always verify you are using the current edition before starting an estimate.

6. Quality Assurance

6.1 All Category C and D estimates must undergo independent peer review by an estimator not involved in the original estimate.

6.2 Peer review checklist includes:

- BOQ completeness and accuracy
- Rate application correctness
- Margin application per policy
- Risk register alignment
- Scope coverage verification
- Arithmetic accuracy

6.3 Estimates must be benchmarked against at least two comparable historical projects where available. Variances exceeding 15% from benchmarks must be documented and explained.

6.4 All estimates and supporting documentation must be stored in the Contoso Project Management System within 24 hours of submission.

7. Document Control

Version 3.2 - Effective 1 July 2025. Approved by: Sarah Chen, Commercial Director.

Next review date: 1 January 2026.

For questions regarding this policy, contact the Estimation Department at estimation@contoso-infrastructure.com.